

9708/11/O/N/22

1-C

A- In a free market economic system, neither there will be an existence of fiscal policy, nor will there be an existence of monetary policy, due to minimal government intervention

B-Both: multinational companies and national companies can exist in a free market economic system.

C: A transition to a market economy will definitely require privatization, that is when government owned assets for example, nationalized industries are transferred to the hands of private sector, this is why C becomes correct

D-There is no need to replace private property rights by common ownership.

2-B

A: Excludability is a feature of private good and not free good.

B:A free good is a good in the case of which the basic principle of scarcity does not exist, here, even though water is provided for free, it doesn't become a free good since its usage is scarce resources, and **involves an opportunity cost**.

C: The fact that it is available to all passers-by does not make it a free good. This is because, in-case of free good, a particular good doesn't require the usage of scarce resources.

D:This is incorrect as it is possible to charge for a water bottle by attaching a price on it for example, since it is a private good, in the case of which, an allocative mechanism known as the price mechanism can exist.

3-A

A-This represents an emotive value judgement that is based on opinions, as consumers were scared of running out of food, thus making it a normative statement and therefore this becomes correct.

B- Farm workers demanding higher wages to cover extra hours worked is a fact-based reason behind soaring food prices, this is why this statement becomes a positive statement.

C-Similarly, since supply of foreign food was reduced because of closed borders, the food prices rose, is also an objective reason to support the statement. Hence this becomes a positive statement.

D- This is again a factual statement, as increasing transport prices are said to be the reason behind a rise in food prices. This, therefore, becomes a positive statement

4-C

Opportunity cost is the real cost of choosing an option and not the another, that is, it is the value of the next best alternative foregone.

A-A decision to continue as a doctor will lead to a consequence in form of "the risk of mistakes caused due to tiredness". This is not the opportunity cost of continuing as a doctor.

B-The same goes for option B, as the possible costs of illness as a result of high stress levels, is also what will come with being a doctor.

C-However, if the person continues to work as a doctor, this means that he wouldn't be able to work as a teacher, and therefore the opportunity cost will be the "potential salary as a teacher", that will be sacrificed.

D-The retraining cost of becoming a teacher will occur as a result of choosing to become a teacher, this wouldn't be the opportunity cost of not being a doctor, thus making it incorrect.

5-A:

A:Car is a substitute to a motor cycle, this means that there will be a positive relationship between the price of car and the demand for motorcycles.

If the price of car falls, the demand for motorcycles will fall, causing the demand curve to switch to the left, as individuals will choose to switch to cars. This is why, this option becomes correct.

B:When the price of motorcycles fall, this will extend the qty demanded of motorcycles, rather than causing a decrease in demand for motorcycles.

C:When the indirect tax on motorcycles rise, this will increase the costs of production of producers, causing the supply to decrease.

D:When the price of public transport, that is a substitute rises, individuals will choose to switch to motorcycles, increasing the demand for it, since there is a positive relationship between the price of one good and demand for another, in case of substitutes, thus making it correct.

6-C

A,B,D: Consumer incomes, expectations of future house prices that reflects consumer confidence, and the rate of interest charged on loans for house purchases are all factors that will influence demand for houses, which must be held constant while drawing a demand curve, to fulfill the condition of **ceteris paribus**.

C:On the other hand, the price of houses is supposed to vary and is held variable to observe its impact on qty demanded for housing, thus making this correct as **"it is not assumed to remain constant"**. Price factor does not bring about a shift in the demand curve, instead it results in a movement along the "demand curve"

7-B:

A:Price elasticity of supply does not measure the responsiveness of prices to changes in qty supplied. Instead, it measures the responsiveness of a proportionate change in qty supplied to a proportionate change in price.

B:This is correct to say that PES measures the responsiveness of a percentage change in qty supplied to a percentage change in price of a good.

C: It does not measure how supply responds to changes in costs of production

D:similarly, it does not measure how supply of a good X responds to a change in the price of good Y

8:B

Positive cross elasticity of demand represents substitutes.

Substitutes are alternatives or options that are used in place of each other when the price of a good changes relative to others.

A: Biscuits and cakes are complements to tea

B: This is correct since coffee and hot chocolates are beverages that can be used as a substitute to tea

C: cups and saucers are again complements.

D: Sugar and milk are again complements to tea.

9-B

A: A change in the costs of production of car owners is a factor influencing supply, that will shift the supply curve either on the right or the left, depending upon whether the costs of production decrease or increase.

B: A change in the price of fuel used by car owners will not cause a shift in the supply curve since this doesn't affect a producer. **Changes in the price of petrol will instead affect the demand for car, since fuel and car are complementary goods.** This is why, this becomes correct.

C: A change in the sales tax will again affect the cost of production of the producer, leading to changes in supply, which will cause the supply curve to either shift leftwards or rightwards.

D: A change in wages which signifies labor costs will influence costs of production and therefore bring changes in supply.

10-C

- ➔ Improved technology will reduce the costs of production due to it leading to a rise in efficiency as machines can work 24/7 without the need to rest and bringing labor productivity as well, as less labor will be able to produce more with the help of machines in less time, leading to a fall in labor costs, which will lead to an increase in supply, that is, cause the **supply curve to shift rightwards from S_1 to S_3 .**
- ➔ When popularity of pineapples increase, due to a health book realizing its benefits, this will lead to an increase in demand, that is, the demand curve will shift rightwards from D_1 to D_3 .
- ➔ And therefore, a new equilibrium will be achieved from X to C.



11-D:

Consumer surplus is the difference between the maximum price a consumer is willing to pay and the price that he ends up paying, that is the market price.

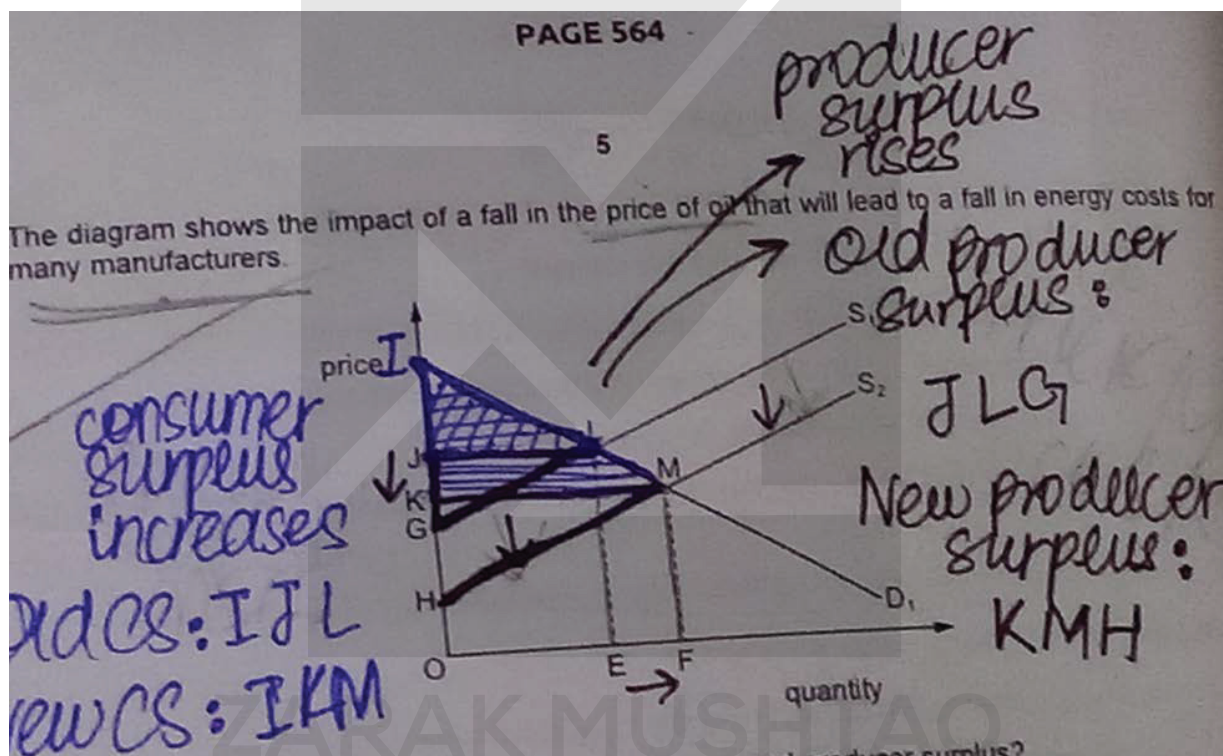
After an increase in supply, a resultant surplus will bring about a fall in prices and in turn a **rise in consumer surplus**.

Producer surplus is the difference between the minimum price a producer is willing to accept and a price that he ends up charging, that is the market price

After an increase in supply, there will be a **rise in producer surplus** because the minimum price a producer is willing to accept falls from G to H

This is why option D will be correct

This can be seen in the figure below.



12-B

A: When the firm finds it difficult to recruit new labor because of a boom in the economy for example, when there is a shortage of labor, this will also put an upward pressure on the wages, and therefore, the supply will be inelastic in response to changes in demand.

B: When the firm has large quantities of stocks of raw materials and finished components kept, the supply will be elastic in response to changes in demand as the producer can easily release these stocks when there is high demand, this is why, this becomes correct.

C: When the firm is operating in the short run, that is, when most of the factors of production are fixed and capital for example, cannot be varied, the supply will be inelastic.

D: When the firm is operating near to its full capacity, representing a situation where spare resources are not available, it will be difficult to expand production in response to a rise in demand.

13-C

A-Availability of loans for buying houses could lead to an increase in demand for houses and in turn electric switches as people who buy houses may also need to buy more switches to equip their new homes ,thus making this incorrect.

B-Granting a subsidy for producers of bricks could lead to an increase in construction activity, which in turn could increase demand for electric switches.

This is incorrect as we are interested in an option that does not cause a shift in demand curve.

C- On the other hand, removing sales tax that is a tax on goods and services would reduce the cost of production of producers of electric switches ,in turn increasing the supply for electric switches. Here, instead of demand, the supply will increase, thus making it correct.

D- Removing tariffs on imports of wood could lead to a decrease in the price of wood and an increase in its availability domestically , which could lead to an increase in the construction activity and thus there will be an increase in demand for electric switches.

14-A

A-The government will have to keep the provision of public goods under its control due to the free rider problem as because of it, the private sector would never provide for them, in order to **rectify the market failure**. A **free rider problem** occurs due to non-rivalry and non-excludability ,as since consumers are aware that ,they will be able to enjoy the equal benefits associated with these goods without paying for them as those who pay for them ; therefore, they wouldn't be willing to pay for them , this means that it is difficult to set prices for them ,or in other words, there is no mechanism to charge prices for them. This is why, this becomes correct.

B-Management being hampered by excessive bureaucracy is a reason for government failure rather than why governments should provide certain goods.

C- Ownership of company depending upon the ease of buying shares does not explain why certain goods will remain under government control.

D- Efficiency as a result of presence of profit motive explains the advantage of private sector provision rather than a disadvantage, therefore this becomes incorrect.

15-C

A:This is incorrect to say that the minimum wage helped the low paid more than the extremely low paid, since it can be seen that the minimum wage helped the "extremely low paid more" as the percentage of people in the extremely low paid bracket has decreased greatly.

B- This is incorrect to say that the minimum wage reduced the numbers of both, low paid and extremely low paid ,since we are given data in percentage form, rather than in numbers.

C- The minimum wage reversed the trend in low pay of the previous 20 years, since it can be seen that in the previous 20 years, before the minimum wage was imposed (minimum wage was imposed in 1998), that is from 1978 onwards, the percentage of those on low pay was less, which has increased after the introduction of minimum wage. This therefore, becomes correct

D- We cannot conclude this due to data given in percentage form.

16-B:

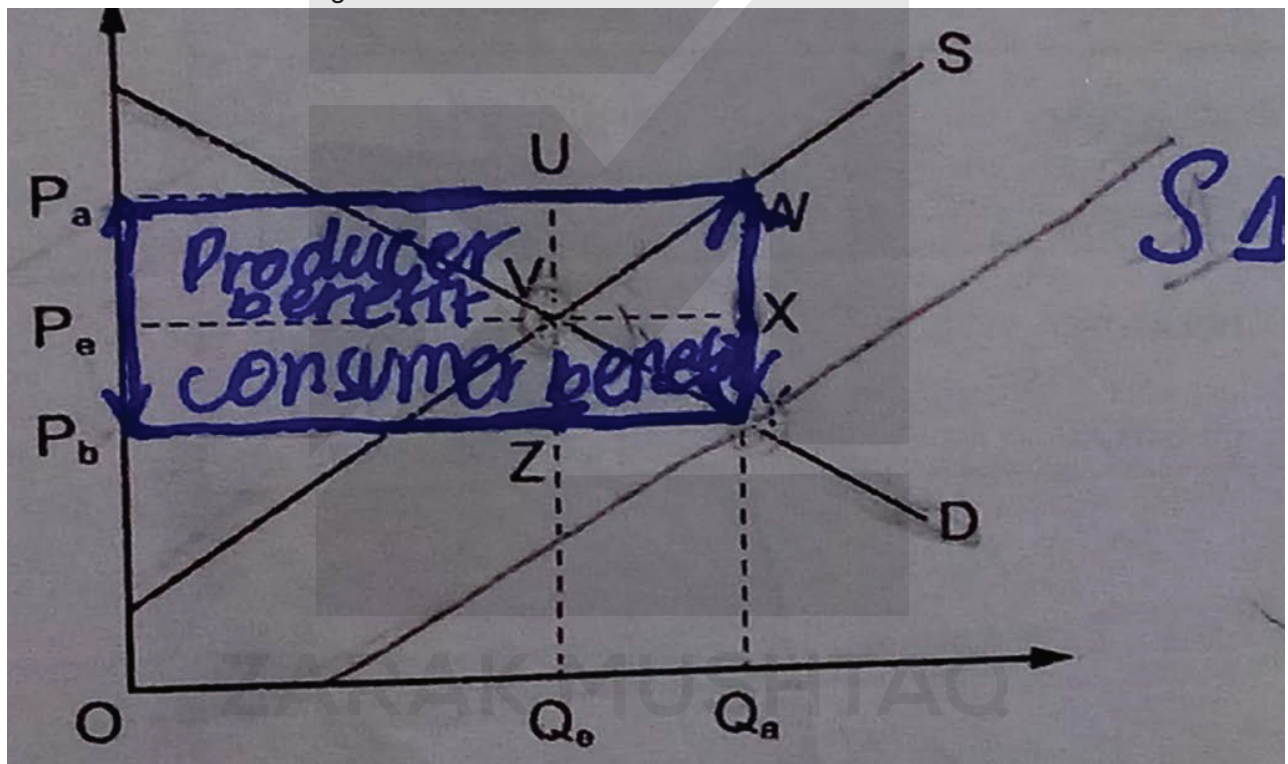
The total cost to the subsidy is per unit subsidy multiplied by the equilibrium quantity.

The per-unit subsidy is the vertical distance between the two supply curves, that is shown from **W-Y**.

And the new equilibrium quantity is **Qa**.

We will then draw a rectangle to find out the total cost of the subsidy to the government and that will be **consumer benefit + producer benefit**, that is, "**PaWYPb**"

This can be seen in the diagram below:



17-D

The fixed capacity of concert arena represents **perfectly inelastic supply**.

Upon an imposition of minimum price, the quantity demanded will contract. **It is to note, that if the level of maximum price is higher, the more people will be discouraged to contract the quantity demanded of concert tickets.** (The highest price level in the options available is "12")

Similarly, the percentage by which **quantity demanded contracts will be higher, if the demand for them is elastic.**

It is only option D, in which, **the price level is highest of “12”, and the PED is said to be elastic**, therefore, this becomes correct.

18-A:

The government has announced to reduce the level of transfer payments

A-The idea that there should be more incentive effects for unemployed to seek jobs will be consistent with the government's attempts to **reduce unemployment benefits** for example, as **this will encourage people to seek jobs and reduce the levels of voluntary unemployment**.

B- Had the government believed to increase state pensions, it would have never announced to reduce the level of transfer payments in the country.

C-The government would have decided to increase income taxes that is an example of progressive taxation if it had wanted to collect funds to provide transfer payments; therefore, this idea becomes inconsistent with government's intervention

D-If the level of government expenditure was needed to be increased by the government, it would have not decided to reduce its spending in form of transfer payments.

19-C

For an oil importing country, if the oil price of world rises, and when the demand for oil is inelastic, which implies that there will be a contraction in qty demanded by a relatively smaller percentage, this will lead to a rise in import expenditures and in turn costs which will lead to a reduction in Aggregate supply and in turn shortages, leading to a rise in the general price level, reflecting the existence of **"cost push inflation"**

Whereas, on the other hand, a rise in import expenditures relative to export revenues suggests a Balance of Trade deficit, which represents net leakages from the circular flow, leading to a fall in Aggregate demand, and as a result of surplus of resources, **"demand pull inflation" will reduce**.

This is why, option C becomes the answer.

20-A:

An increase in supply from S1 to S2, would lead to depreciation of the Chinese yuan leading to the value of currency not being maintained within the set band, which would require intervention by the government **in form of a fall in supply or a rise in demand**.

A- Introducing controls on Chinese investment overseas would **reduce the supply of Chinese yuan abroad**, which will offset the impact of a rise in supply, leading to the value of yuan being maintained within the set band, thus making this correct.

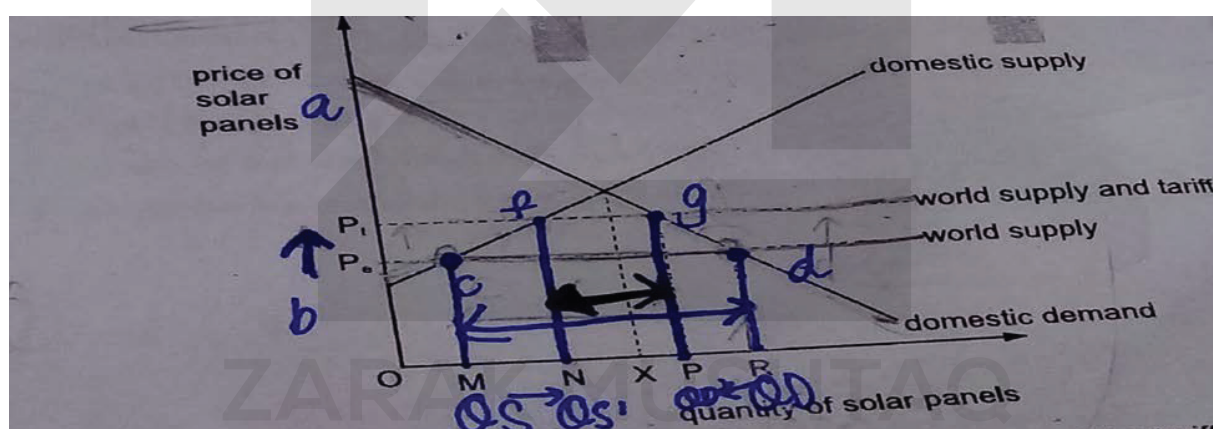
B- If interest rates are lowered, this will further increase the supply of Chinese yuan, as domestic investors will be discouraged to invest in the domestic economy because the opportunity cost of investing in that economy has increased; therefore, leading to further depreciation.

C- If tariffs are removed on imports from US, this will reduce the prices of imported goods, in turn leading to a rise in imports from the US, which means that there will be an increase in supply of yuan to pay for imports, leading to the currency being depreciated further

D- Selling yuan on the forex market would further lead to depreciation leading to the value of yuan not being maintained within the set band.

21-C

- After the imposition of tariffs, the world supply shifts upwards to world supply plus tariff, and this means that the world prices will be artificially inflated from P_e to P_t .
- And since at a higher price level, the producer will be signaled and incentivized to **extend their quantity supplied from M to N**, and the consumers will be discouraged to **contract their quantity demanded from R to P**, the **shortage or the volume of imports will contract from "MR" to "NP"**, as can be seen in the diagram below.
- The quantity of imported solar panels will now be "NP". This is why, option C will be the answer.



22-B:

An improvement in Balance of Trade position represents a Balance of Trade surplus or in other words net injections into the circular flow, which increases the Aggregate demand causing the Aggregate demand curve to shift **rightwards from AD1 to AD2**

Similarly, a rise in unit wage costs will increase the costs of production causing **a decrease in Aggregate supply, shown through a leftward shift in the Aggregate supply curve from SRAS1 to SRAS2**

This is only shown about in option B.

23-C:

A- Based on the figures of export revenues, we cannot conclude if Canada exported more goods than Singapore, because revenue is obtained by multiplying prices of exported goods with the quantity of goods exported. What if the prices are higher instead of quantity ?? Therefore, this becomes incorrect.

B- Canada had a deficit, whereas, Singapore had a surplus. This can be seen in the calculation below

C- It is correct to say that Singapore had a surplus.

D- It cannot be said based on the data of import expenditures that Singapore imported cheaper goods than Canada because expenditures are calculated by multiplying price with qty.

GDP

Canada → -34200 (deficit of 34200)

* Balance of trade in goods (X TR - M TR) → 448360 - 462105 = -13745

* Balance of trade in services (X TR - M TR) → 100350 - 115270 = -14920

* Primary income balance: -3475

* Secondary income balance: -2060

Singapore:

Balance of trade in goods:

* X TR - M TR → 440800 - 342805 = 97995 (surplus of 97995)

Balance of Trade in services

* X TR - M TR → 204810 - 119050 = 85760 (surplus of 85760)

* Primary income balance → -34340 (deficit of 34340)

* Secondary income balance = -6280 (deficit of 6280)

Overall Surplus of 143135

24-A:

Terms of trade is the ratio of export prices to ratio of import prices; therefore, option A becomes correct as the correct formula is:

Price index of exports / price index of imports * 100.

This is why, key A, becomes correct.

25-D:

A- An increase in inflation is likely to make exported goods expensive and bring about a fall in qty demanded of exports by a relatively higher percentage when the demand for them is elastic, leading to a fall in export revenues relative to import expenditures which rise since as imported goods

appear relatively cheaper, there is an extension in qty demanded of imported goods by a relatively higher percentage. This fall in export revenues represent a fall in demand for currency, whereas ,a rise in import expenditures represent a rise in supply for currency. Both these actions will lead to depreciation of the exchange rate.

B- An increase in national income will lead to a rise in imports and in turn import expenditures will rise ,bringing about a rise in supply of currency and subsequently resulting in the depreciation of the exchange rate

C- When money supply rises, consequently, interest rate will fall, which will reduce the incentive to invest in the economy, and since foreign investors will be discouraged , they will therefore call back their investments. These hot money outflows will lead to a fall in demand for currency and in turn depreciation of the exchange rate.

D- A discovery of natural resources which replaces imports will lead to a fall in import expenditures, and when supply for currency reduces, the currency appreciates ,or in other words, the exchange rate appreciates, this is why, this becomes correct.

26-A:

A: An increase in government's foreign aid to other countries represents secondary income outflows, which may lead to the deficit in the current account to further widen, thus making it correct.

B: An increase in government tax rates for e.g. ,income tax, will reduce disposable income, in-turn causing a decrease in consumption of imports and in turn import expenditures fall ,leading to a decrease in current account deficit.

C: An increase in other countries' exchange rate or appreciation in the currencies of trading partners will lead to our exported goods appearing cheaper to them, leading to a rise in export revenues, in turn causing the deficit to reduce.

D: An increase in proportion of incomes saved means that less will be spent on consumption and in fact , consumption on imported goods will also decrease , causing the current account deficit to reduce

27-C:

The Marshall Lerner condition states that for depreciation to cause a Balance of Trade surplus , the "sum of price elasticities of demand for imports and exports must be greater than one , or in other words, elastic"

Therefore, in principle , no other option can be correct.

28-A:

A fiscal policy involves the government manipulating taxation and government spending to influence Aggregate demand.

A monetary policy involves the central bank manipulating the interest rates, money supply and exchange rate to influence Aggregate demand.

A supply side policy involves measures taken by the government to increase Aggregate supply either by reducing the prices of factor inputs ,or by improving the productive potential of the economy by increasing the quality or quantity of factors of production.

An attempt by the government to increase the minimum income levels ,that is the taxable allowance, at which individuals pay taxes ,requires the usage of "**expansionary fiscal policy**"

When taxes on individuals' incomes are reduced, incentive effects will increase, and individuals will be encouraged to work for more hours, that is, they seek overtime or promotion, knowing that the greater proportion of extra incomes earned would not be taken up in tax. This is therefore, **a supply side policy**.

This is why, option A becomes correct.

29-D:

A-Rising interest rates will in actual attract hot money inflows, due to a higher incentive to invest in the domestic economy.

B-Rising interest rates may reduce domestic consumption due to increase in savings, and in-order to export this surplus in the domestic markets, exporters will be encouraged to find new markets.

C-This justification is valid too, as a rise in interest rates will increase savings and in turn reduce consumption, even on imported goods.

D-This statement is not valid as rising interest rates do not put a downward pressure on exchange rate, **instead, by attracting hot money inflows, it will put an upward pressure on the exchange rate as the demand for currency rises**

30-B

Contractionary monetary policy measures will reduce the rate of inflation.

By reducing the money supply, the qty of money in circulation reduces, which puts an upward pressure on the price of money, that is, the interest rate.

When interest rates are higher, they will lead to a rise in savings and in turn a fall in consumption expenditures, reducing Aggregate demand, also because of it making costs of borrowing higher, which reduces the marginal propensity to invest, in turn discouraging investment expenditure.

Similarly, when the exchange rate appreciates as a result of exported goods appearing relatively expensive, and imported goods appearing relatively cheaper, this leads to a "Balance of trade deficit", as when the demand for imports and exports is elastic, this leads to a fall in export revenues and in turn a rise in import expenditures. This represents net leakages from the circular flow, which will decrease Aggregate demand

A fall in "Aggregate demand" will lead to a surplus or under-utilization of resources causing the general price level to fall, or in other words, the rate of demand-pull inflation to reduce.

This is why, B becomes correct.

